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Regime Reset: Navigating the AI Revolution and Fiscal Reckoning

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Market regimes shift frequently, shaped by changes in monetary and fiscal policy as well as groundbreaking technological innovations. A pivotal moment arrived in the fourth quarter of 2022, when the Federal Reserve softened its inflation-fighting stance just as ChatGPT's launch ignited a surge of interest in artificial intelligence. From then until the end of 2024, the Magnificent Seven tech giants, alongside early-adopter firms leveraging AI's rapid rise, dominated market returns, fueled by widespread optimism about the technology's potential. Yet, as 2025 began, a new shift emerged: President Trump and his administration vowed to rebalance the economy without guaranteeing stock market support, targeting the fiscal deficit and debt-to-GDP ratio, while investors confronted growing uncertainty over the intensifying U.S.-China AI race and the pursuit of artificial general intelligence (AGI) within three years. This convergence of policy upheaval and technological competition marks the beginning of a new, unpredictable regime and investors around the globe are repositioning for it.

The roots of this shift trace back to 2007, when U.S. fiscal debt stood at \$9 trillion, only to balloon to \$36 trillion by 2025, propelled by the Great Financial Crisis, the COVID-19 pandemic, and a zero-interest-rate policy (ZIRP) that encouraged unchecked spending. That same year, the iPhone's debut ushered in a software-driven era on the back of code, reorienting an economy burdened by debt and tethered to physical infrastructure. The world transitioned from a hardware-centric landscape—where China's industrial ascent was emblematic—to a digital, sharing economy, with aging societies favoring innovation over traditional industrial growth. Tech firms flourished under ZIRP, scaling globally without heavy borrowing and later thriving amid the pandemic's work-from-home surge. Now, however, escalating government debt, the concentration of wealth among a few tech titans, and the democratized spread of AI—along with its surging energy demands—are dismantling that regime, paving the way for a new economic order.

This year, the Magnificent Seven have stumbled, shedding over 20% of their value despite stable earnings forecasts, a decline driven not by fundamentals but by a reassessment of their future amid policy uncertainty and AI's relentless advance. The launch of DeepSeek R1 on Inauguration Day 2025 deepened these doubts, spotlighting the ferocious pace of innovation and the massive investments needed to chase AGI, with each week amplifying investor unease. Beyond these tech giants, the S&P 500 reveals a broader rotation: energy and utilities are rising, powered by AI's insatiable energy needs; healthcare is capitalizing on an aging population with government-guaranteed revenues and poised to harness AI for efficiency gains; and financials are climbing on hopes of deregulation—all aligned with the administration's rebalancing efforts. While AI competition accelerates, this resilience outside tech suggests a regime shift where stability and adaptation, rather than pure innovation and speculation, are gaining ground.

Globally, this new regime is also taking hold, as Europe and China—long overshadowed in recent years—capitalize on lower price-to-earnings multiples and distinct strengths. Europe's limited reliance on technology companies shields it from the volatility battering tech-heavy markets, while China's resurgence stems from both undervaluation and its unexpected proximity to the AI frontier, challenging U.S. dominance. With robotics set to redefine industries in the coming years, China's early lead in this field further bolsters its position. These global shifts echo the U.S. experience, where AI's rapid evolution and the push for economic rebalancing are upending old assumptions. Together, they signal a regime defined not just by technological rivalry but by a broader recalibration of value and opportunity across markets.

Over the next four years, this regime will be shaped by uncertainty, driven by a U.S. administration whose goals break sharply from the past 17 years of policy continuity of debt expansion. The outlook on the future macro landscape has shifted dramatically since the Magnificent Seven's dominance began, when 3-month Treasury bills yielded near zero;

today, at 4.29%, it's a starkly different world. Concurrently, AI's blistering pace is placing every tech and software company—along with the chipmakers supporting them—under relentless competitive pressure. While technology will still produce winners who dominate temporarily, in this turbulent, uncertain environment where long-term predictability is scarce, the winners, I believe, will mark a true reset, emerging not from the efficient, high-margin early adopters but from the overlooked physical and inefficient sectors and companies ignored over the past 17 years and ripe for transformation. As Elon Musk has proposed, streamlining government operations could unlock \$1 trillion in savings by May—a prospect that hints at the potential for AI to similarly revolutionize lagging industries. Energy and healthcare stand out, with steady cash flows from AI power needs and essential government spending, offering resilience and efficiency gains in a regime where adaptation, not just innovation, will define success.

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